

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 21-02

**YSN IMPORTS INC. d/b/a FLAME KING,
Complainant,**

v.

**FEIGE “PEGGY” OBERLANDER, U SHIPPERS GROUP INC., U SHIPPERS GROUP
MANAGEMENT CO., INC.,
Respondents.**

**JOINT MOTION FOR APPROVAL OF SETTLEMENT AND VOLUNTARY
DISMISSAL OF COMPLAINT**

YSN IMPORTS, INC. (“YSN” or “Complainant”), and FEIGE “PEGGY” OBERLANDER, U SHIPPERS GROUP, INC., U SHIPPERS GROUP MANAGEMENT CO., INC. and GREEN NORTH AMERICA, INC. (collectively, “Respondents”) (each a “Party” and collectively, the “Parties” to this Agreement), for the consideration described below submit this Joint Petition for Approval of Settlement and Dismissal of Complaint.

The Parties have mutually agreed to settle all of their disputes and issues that are the subject of this Proceeding as well as separate ongoing litigation in the United States District Court for the Eastern District of New York, Case No. 20-cv-5981-DG-LB (“Eastern District Litigation”). A copy of their Settlement Agreement is being filed on a confidential basis as Exhibit A to this Petition. For the reasons set forth below, the Complainant and Respondents submit that this Settlement Agreement should be approved by the Commission.

The Settlement Should Be Approved

The Commission has a strong and consistent policy of “encourage[ing] settlements and engag[ing] in every presumption which favors a finding that they are fair, correct, and valid.” *Inlet Fish Producers, Inc. v. Sea-Land Service, Inc.*, 29 SRR 975, 978 (ALJ 2002) quoting *Old Ben Coal Co. v. Sea-Land Services, Inc.*, 18 S.R.R. 1085, 1091 (ALJ 1978). The Commission’s policies, its Rules of Practice, and the Administrative Procedures Act all encourage settlements. *Id.* 18 S.R.R. at 1092. As the ALJ recognized in *Old Ben*:

The desire to uphold compromises and settlements is based upon various advantages which they have over litigation. The resolution of controversies by means of compromise and settlement is generally faster and less expensive than litigation; it results in a saving of time for the Parties, the lawyers, and the courts, and it is thus advantageous to judicial administration, and, in turn to government as a whole. Moreover, the use of compromise and settlement is conducive to amicable and peaceful relations between the parties to a controversy.

Id. (citation omitted).

In the Third Amended Scheduling Order dated November 18, 2021, the Presiding Judge recognized that voluminous discovery has been produced in the case and that the parties should work together to settle the proceeding.

The Commission, nonetheless, reviews settlement agreements to ensure that they do not contravene any law or public policy, and are free of fraud, duress, undue influence, or mistake, or other defects which might make them unapprovable.

The claims at issue relate to allegations that the Respondents engaged in unjust and unreasonable practices in violation of the Shipping Act and that U Shippers Group was not acting as nonprofit entity. The Respondents have denied all such allegations.

Here, the Parties’ settlement reflects a fair and considered judgment of the relative strengths of their respective positions, the desire to avoid continuing litigation costs and to avoid

the risks inherent in litigation. The settlement is the product of arms-length negotiations, in which counsel for both parties participated, and is free of fraud, duress, or undue influence. The Parties also submit that the settlement is free of mistake or other defects which might make it unapprovable.

Further, the settlement does not contravene law or public policy. It is not an unjust or discriminatory device, has no adverse effect on any third parties or the market for transportation services, and does not run afoul of any provision of the Shipping Act. Rather, it constitutes a prudent decision to settle costly litigation in which the ultimate outcome was uncertain. In sum, because the settlement is fair, reasonable and adequate, and is the product of prudent and considered judgment on the part of the Parties, it should be approved.

The Terms of the Settlement Should Remain Confidential

The settlement contains sensitive commercial information that should be protected from public disclosure. The settlement specifically deals with a payment made to resolve all claims related to the instant matter, as well as a separate lawsuit filed in the Eastern District Litigation. Accordingly, the Parties respectfully request confidential treatment of the settlement agreement pursuant to Section 502.5 of the Commission's Rules of Practice and Procedure; 46 C.F.R. §502.5.

WHEREFORE, the Parties request, for the reasons set forth herein, that their settlement be approved and the Complaint in this Proceeding be dismissed with prejudice.

Dated: March 25, 2022

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Respectfully submitted,

/s/ Brendan Collins

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CERTIFICATE OF SERVICE

I do hereby certify that I have delivered a true and correct copy of the foregoing document to the parties to this proceeding by depositing same in the United States mail, first class postage prepaid, and/or via email transmission, this 25th day of March, 2022.

/s/ Brendan Collins

Brendan Collins